

Liquefied Petroleum Gas (Regulation Of Supply And Distribution) Order 2000

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Union of India - Act

Liquefied Petroleum Gas (Regulation Of Supply And Distribution) Order 2000

UNION OF INDIA

India

Liquefied Petroleum Gas (Regulation Of Supply And Distribution) Order 2000

Rule LIQUEFIED-PETROLEUM-GAS-REGULATION-OF-SUPPLY-AND-DISTRIBUTION-ORDER-2000 of 2000

Published on 20 July 2000

Commenced on 20 July 2000

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Liquefied Petroleum Gas (Regulation Of Supply And Distribution) Order 2000

Republished vide Notification G.O.Ms. No.155, Co-operation, Food and Consumer Protection, Dated 20.07.2000
1206.

Ministry Of Petroleum And Natural Gas Order

New Delhi, The 26th April, 2000

G.S.R. 487 (E).- In exercise of the powers conferred by section 3 of the Essential Commodities Act, 1955 (10 of 1955

), the Central Government hereby makes the following Order, namely:-

1.

Short title and Commencement. -

(1)

This Order may be called the Liquefied Petroleum Gas (Regulation of Supply and Distribution) Order, 2000.

(2)

It extends to the whole of India

(3)

It shall come into force on the date of its publication in the Official Gazette.

2.

Definitions -

In this Order, unless the context otherwise requires, -

(a)

'chief Controller of Explosives ' shall have the same meaning assigned to it in the Explosives Act, 1884 (4 of 1884

);

(b)

"consumer" means a registered person, firm, company, institution, association of persons, co-operative society or organisation, who has been granted liquefied petroleum gas connection or supply, either in bulk or in cylinder, by a distributor or a Government oil company or a parallel marketeer;

(c)

"cylinder" means a metal container utilized for storing liquefied petroleum gas conforming to the specifications laid down in Schedules II and III ;

(d)

"delivery person" means a person engaged by a distributor of a Government Oil Company or a parallel marketeer to deliver liquefied petroleum gas in cylinder to consumers ;

(e)

"distributor" means a person, firm, association of persons, company, institution, organisation or a co-operative society appointed by a Government Oil Company or parallel marketeer and engaged in the business of purchase, sale, or storage for sale of liquefied petroleum gas in cylinders to consumers on the basis of an agreement with a Government Oil Company or a parallel marketeer, as the case may be;

(f)

["other modes of authentication" means verifying the unique identification number through any other methods devised by Unique Identification Authority of India and accepted by Ministry of Petroleum and Natural Gas, in case customer is not able to complete biometric authentication.]

[Substituted by Notification No. G.S.R. 791 (E) dated 25.10.2012 (w.e.f. 20.7.2000)]

(g)

"Government Oil Company" means, -

(1)

Bharat Petroleum Corporation Limited

(2)

Bongagaigaon Refinery and Petrochemicals Limited

(3)

Cochin Refineries Limited

(4)

Gas Authorithy of India Limited

(5)

Hindustan Petroleum Corporation Limited,

(6)

Indian Oil Corporation Limited,

(7)

Indo-Bharma petroleum Company Limited,

(8)

Chennai Petroleum Company Limited,

(9)

Numaligarh Refinery Limited,

(10)

Oil India Limited,

(11)

Oil and Natural Gas Corporation Limited, or

(12)

any other Government Company or a statutory body or a company or a firm, declared as such by notification in the Official Gazette, to be a "Government Oil Company by the Central Government, for the purposes of this Order;

(gg)

["household" means a family consisting of husband, wife, unmarried children and dependent parents living together in a dwelling unit having common kitchen :-

[Substituted by Notification No. G.S.R. 655 (E) dated 10.9.2009 (w.e.f. 20.7.2000)]

Provided that a Liquefied Petroleum Gas connection shall be issued only in the name of any adult member of the household by a Government oil company under the public distribution system;]

(h)

"Indian Standard" shall have the same meaning as assigned to it in clause (g) of section 2 of the Bureau of Indian Standards Act, 1986 (63 of 1986) ;

(i)

"liquefied petroleum gas (or LPG)" means a mixture of light hydrocarbons which may include propane, isobutane, normal butane, butylenes etc., which are gaseous at normal ambient temperature and atmospheric pressure but may be condensed to liquid state at normal ambient temperature by the application of pressure and which conforms to Indian Standard specification number IS 4576;

(ia)

["LPG rubber hose" means the flexible tubing used for connecting the gas cylinder with burner which is not subjected to full cylinder pressure;]

[Inserted by Notification No. G.S.R. 838(E), dated 4.11.2015 (w.e.f. 20.7.2000).]

(j)

" parallel marketeer" means any person, firm, company, institution, association of persons, co-operative society or organisation carrying on any or all of the business of importing, storing, bottling, marketing, distributing and /or selling liquefied petroleum gas under the parallel marketing system;

(k)

"parallel marketing system" means the system other than the public distribution system, under which a parallel marketeer carries on any or all of the business of importing, storing, bottling, distribution or selling in bulk or in retail, packed or filled in cylinder, liquefied petroleum gas under his own arrangement;

(l)

"public distribution system" means the system of distribution, marketing or selling of liquefied petroleum gas by a Government Oil Company at the Government controlled or declared price through a distribution system approved by the Central or a State Government;

(m)

"pressure regulator" means the equipment used for regulating the flow and pressure of liquefied petroleum gas from a cylinder to a gas stove;

(mm)

["piped natural gas supplying company" means any company or a body of a firm existing or authorized by Petroleum and Natural Gas Regulatory Board for the marketing or distribution or both of gas for supply to consumers, whether household or commercial or Industrial establishments.

[Substituted by Notification No. G.S.R. 655 (E) dated 10.9.2009 (w.e.f. 20.7.2000)]

(mmm)

"domestic reticulated system" means a system of distribution of Liquefied Petroleum Gas from a bank of cylinders is centralized bulk Liquefied Petroleum Gas storage tank or both through a network of pipelines to different houses within

the same high-rise or multistorey building or group of houses for domestic purpose only.]

(n)

"Schedule" means a Schedule appended to this Order;

(o)

" seal" means seal put on the cap of the valve of the cylinder for the purpose of sealing a cylinder after it has been filled with liquefied petroleum gas;

(p)

"storage point" means the premises licensed by the Chief Controller of Explosive;

(q)

" transporter" means a person authorised by a Government Oil Company parallel marketeer or a distributor for transportation of LPG in bulk or in cylinders and also of empty or defective cylinders.

3.

Restriction on unauthorised possession, supply and consumption of liquefied petroleum gas -

(1)

A [household]

[Substituted for the words "person" by Substituted by Notification No. G.S.R. 655 (E) dated 10.9.2009 (w.e.f. 20.7.2000)]
having a connection for liquefied petroleum gas under the public distribution system, shall not -

(a)

possess more than one connection of liquefied petroleum gas granted under the public distribution system:

Provided that the Central Government or the Chief Executive Officer of a Government Oil Company, may sanction more than one connection of liquefied petroleum gas under the Public Distribution System in favour of any [household]

[Substituted for the words "person" by Substituted by Notification No. G.S.R. 655 (E) dated 10.9.2009 (w.e.f. 20.7.2000)]

, keeping in view the difficulty and hardship experienced by such [household]

[Substituted for the words "person" by Substituted by Notification No. G.S.R. 655 (E) dated 10.9.2009 (w.e.f. 20.7.2000)]

in obtaining supplies of the LPG;

(b)

possess or use liquefied petroleum gas filled in cylinder or in bulk, unless he has received the supply from a Government Oil Company or a distributor authorised by such Company;

(c)

use liquefied petroleum gas for any purpose other than for which the consumer is registered with the distributor of a Government Oil Company:

Provided that the Central Government may by a general or special order permit the use of liquefied petroleum gas for such other purposes as, it may, by order, specify.

(1A)

[If any person continues to have domestic Liquefied Petroleum Gas connection taken under public distribution system from a Government Oil Company beyond sixty days of obtaining a piped natural gas connection from any company, public or private, a Government Oil Company shall have the power to cancel domestic Liquefied Petroleum Gas connection of such piped natural gas consumer after sixty days from the date of its obtaining piped natural gas connection by giving a notice to the domestic Liquefied Petroleum Gas consumer in writing by registered post.]

[Substituted by Notification No. G.S.R. 655 (E) dated 10.9.2009 (w.e.f. 20.7.2000)]

(2)

[The supply of liquefied petroleum gas to domestic category consumers shall be made in 5 Kg and 14.2 Kg capacity cylinder and to those falling under non-domestic category shall be made in 19 Kg, 35 kg, 19 Kg and 47.5 capacity cylinder, or in such capacity cylinders as may be notified, by the Central Government from time to time.]

[Substituted by Notification No. G.S.R. 655 (E) dated 10.9.2009 (w.e.f. 20.7.2000)]

(3)

[No distributor of a Government Oil Company shall supply Liquefied Petroleum Gas filled in cylinder to any household unless the person of such household in whose name connection has been issued-

(a)

has been registered and granted a connection for liquefied petroleum gas under the public distribution system, or

(b)

holds a valid authorization from the Government Oil Marketing Company; and

(c)

furnishes the Aadhaar Number and completes biometric or other modes of authentication at the distributorship from whom he or she has obtained the domestic liquefied petroleum gas connection, within three months from the date of notification of such area, provided the household is located in the notified area; and

(d)

completes the "Know Your Customer" within the time and format as notified from time to time.]

(4)

No distributor of a Government Oil Company [or a piped natural gas supplying company]

[Substituted for the words "or a parallel marketeer" by Substituted by Notification No. G.S.R. 655 (E) dated 10.9.2009 (w.e.f. 20.7.2000)]

, as the case may be, shall commit or cause to commit any of the activities prohibited herein including those specified in Schedule-1.

4.

Restriction on storage and transport of liquefied petroleum gas -

(1)

No person shall -

(a)

fill any cylinder with liquefied petroleum gas or transfer liquefied petroleum gas from one cylinder to another cylinder or from one container to another container unless authorised by the Chief Controller of Explosives;

(b)

transport or store a cylinder filled with liquefied petroleum gas except in an upright position;

(c)

store or use or cause to be stored or used a cylinder filled with the liquefied petroleum gas except in a cool, dry, well-ventilated and accessible place under cover, away from boilers, open flames, steam pipes or any potential source of heat;

(d)

remove the seal prior to use of the cylinder: Provided that the distributor or his authorised representative or the delivery person may remove such seal in the presence of the consumer either for testing, checking or installation of the cylinder;

(e)

[use cylinder, pressure regulator, gas cylinder valve and LPG rubber hose other than those specified in Schedule II and Schedule III.]

[Substituted by Notification No. G.S.R. 838(E), dated 4.11.2015 (w.e.f. 2.7.2000).]

(2)

No transporter or delivery person shall deliver or cause to deliver liquefied petroleum gas either in cylinder or in bulk to any person other than the consumer or distributor.

5.

Restriction on sale or distribution of liquefied petroleum gas below or in excess of the standard weight. -

No Government Oil Company, distributor or parallel marketeer shall supply, sell or distribute to a consumer liquefied petroleum gas in cylinders which contains less than or in excess of the weight of liquefied petroleum gas specified in the Schedules II and III or as indicated on the cylinder.

6.

Prohibition on carrying unauthorised business of selling LPG -

No person other than a Government Oil Company, a parallel marketeer or a distributor shall be engaged in the business of selling liquefied petroleum gas to the consumer.

7.

Possession, supply or sale of liquefied petroleum gas equipments. -

(1)

No person shall -

(a)

supply or sell filled or empty cylinder, gas cylinder valve and pressure regulator to any person other than a Government

Oil Company or a parallel marketeer;

(b)

unless authorised by a Government Oil company or a parallel marketeer, supply or sell filled or empty cylinder, gas cylinder valve and pressure regulator to any person other than a consumer;

(c)

possess filled or empty cylinder, gas cylinder valve or pressure regulator, unless he is a distributor or a consumer.

(2)

Every manufacturer of cylinder, gas cylinder valve and pressure regulator shall destroy by crushing those cylinders, cylinder valves and pressure regulators which do not conform to the Indian Standards.

8.

Display of stock and price of liquefied petroleum gas. -

Every distributor shall prominently display the stock and price of the liquefied petroleum gas at a conspicuous place of the business premises including the storage point, showing-

(i)

the opening balance of filled, empty and defective cylinders and regulators;

(ii)

the back log of preceding working day of the filled cylinders to be supplied;

9.

Procurement storage and sale of liquefied petroleum gas by a distributor. -

(a)

No distributor having stock of liquefied petroleum gas at the business premises, including storage point, shall, unless otherwise directed by a Government Oil company or a parallel marketeer, refuse to sell LPG on any working day during working hours, to the consumer registered with that distributor.

(b)

No distributor shall keep his business premises including the storage point closed during working hours on any working day without the prior written permission of the Government Oil Company or the parallel marketeer.

Explanation. - For the purposes of sub-clause (a) and (b), the expression 'working hours' means the working hours fixed by the concerned Government Oil company or the parallel marketeer in accordance with the provisions of the Shops and Establishments Act and the rules made thereunder, as in force in the respective States or the Union territories, as the case may be.

(c)

Every distributor shall take steps to ensure that stocks of liquefied petroleum gas are available at the business premises, including the storage point, at all times.

(d)

No distributor shall sell liquefied petroleum gas at a higher price than that fixed by the Government Oil Company or the parallel marketeer.

(e)

No distributor shall, without prior written permission of the concerned Government Oil Company, refuse to make home delivery at the address of the consumer, as registered with the distributor:

Provided that the State Government may, fix additional charges for home delivered of LPG cylinders to the consumers, as it may deem necessary in view of the geographical terrain and /or the distance in the area of distribution.

(f)

Every distributor shall display the working hours prominently at the place of business including the place of storage on a conspicuous place.

10.

Maintenance of register, account books by a distributor : -

(a)

Every distributor shall maintain proper accounts of daily purchase, sale and storage of liquefied petroleum gas at the business premises indicating therein, -

(i)

the opening stock of the filled, empty and defective cylinders;

(ii)

the number of filled, empty and defective cylinders received during the day;

(iii)

the number of filled, empty and defective cylinders sold, delivered or otherwise disposed of during the day;

(iv)

the closing stock of the filled, empty and defective cylinders;

(v)

such other relevant particulars as the concerned Government Oil Company or the parallel marketeer may by order in writing, specify.

(b)

The distributor shall maintain a register giving the details of names and addresses of persons registered for obtaining liquefied petroleum gas connection.

11.

Assessment and Certificate Rating of parallel marketeers. -

(1)

(a)

No parallel marketeer shall commence any activity, such as, importing, storing, transporting, bottling, marketing, distribution, sale or any activity incidental thereto, relating to the business of liquefied petroleum gas without obtaining a rating certificate, for his capability, infrastructure network and readiness to carry out professed business and deliver goods and services promised, provision for adequate safety backup for transportation, accident relief during transportation, and attending to emergency complaints of consumers by an agency given in Schedule - IV, on the basis of its evaluation and rating.

(b)

The rating Certificate shall be issued in the format as specified in Schedule - V, and as per the forwarding letter given in Schedule - VI.

(c)

The rating certificate shall -

(i)

be valid for a period of two years in case of 'good' and 'Satisfactory' rating and one year in case of other ratings from the date of its issue, and

(ii)

require renewal by the rating agency.

(2)

every parallel marketeer announcing details of his activity or inviting offers of any kind in the field of import, transport, marketing, bottling, distribution or sale of liquefied petroleum gas. either in a newspaper, handout, pamphlet, leaflet or by any other means of communication or advertising shall indicate the rating awarded to him in words i.e. Good, Satisfactory, Low-risk, High risk, whichever is applicable, and prominently publish the rating certificate, as given by the rating agency.

(3)

There shall be paid in respect of every application to a rating agency -

(i)

for the rating certificate awarded to the parallel marketeer, a fee at the rate of 0.05% of the project cost, subject to a minimum of rupees fifty thousand and maximum of rupees ten lakhs; and

(ii)

for the renewal of the rating certificate by the parallel marketeer, a fee of onetenth of that required to be paid for such a certificate.

(iii)

The renewal of rating certificate by the parallel marketeer shall be as per the following periodicity, namely :-

(a)

once in two years, for those having 'good' and 'satisfactory' rating certificate in the previous year.

(b)

once in a year for those having rating certificate other than 'good' and 'satisfactory' in the previous year.

(4)

The agencies given in Schedule-IV for the purpose of evaluation shall, on payment of fee by the parallel marketeer, evaluate the parallel marketeer whose case is either referred to it or who approaches it, on the basis of the parameters indicated and the information provided by such parallel marketeer in the format as specified in Schedule - VII or such other information as may be required by the rating agency.

(5)

Every parallel marketeer shall file a certified true copy of the certificate of rating with the Ministry of Petroleum and Natural Gas, Oil Co-ordination Committee, Ministry of Food Civil Supplies of the Central and the State Government and Collector of the District in which he imports, transport, bottles, markets, distributes or sells liquefied petroleum gas.

(6)

All letter-heads or communications of a parallel marketeer shall have the following description of rating :-

(i)

Name of the rating agency,

(ii)

Rating awarded to him, and

(iii)

Date of Issue.

(7)

No parallel marketeer shall either give incomplete, incorrect, misleading, vague information in the newspaper, handout, pamphlet, leaflet or advertisement or submit such information to the rating agency;

Provided that a parallel marketeer carrying on the business of transportation, marketeer, distribution or selling of liquefied petroleum gas as an agent of another parallel marketing, who has obtained a rating certificate, shall not be required to obtain a rating certificate.

Explanation: For the purpose of this clause, a parallel marketeer shall be regarded as an agent of another parallel marketeer if the former is appointed an agent for the above purposes by the later through a legal instrument.

12.

Maintenance of records and furnishing of information by parallel marketeer:

(a)

Every parallel marketeer before commencing the import, transportation, bottling, marketing, distribution or sale of liquefied petroleum gas shall intimate to the Ministry of Petroleum and Natural Gas all or any of the above activities which he intends to undertake, specifying therein capability to do so, and any other relevant particulars.

(b)

The parallel marketeer shall ensure that the quality checks are carried out and the liquefied petroleum gas meets the BIS specification number IS 4576, in all respects before the imported liquefied petroleum gas is discharged into the storage infrastructure at the port.

(c)

The parallel marketeer shall ensure that the liquefied petroleum gas meets the BIS specification number IS 4576 before it is sold to any consumer.

(d)

The parallel marketeer of liquefied petroleum gas shall submit a monthly return before the 15th day of the following month giving details of liquefied petroleum gas produced and or imported port-wise, to the Ministry of Petroleum and Natural Gas.

(e)

The parallel marketeer shall furnish to the Ministry of Petroleum and Natural gas, or to such authority as may be specified by the Central Government, such information as may be required.

13.

Power of entry, search and seizure.

(1)

Any Officer of the Central or the State Government not below the rank of Inspector duly authorised by a general or a special order, by the Central Government or the State Government, as the case may be or any officer of a Government

Oil Company not below the rank of Sales Officer, authorised by the Central Government, may, with a view to securing due compliance of this order or any other order made thereunder;

(a)

Stop and search any vessel or vehicle used or capable of being used for the transport or storage of any petroleum product,

(b)

enter and search any place,

(c)

seize stocks of liquefied petroleum gas along with container and/ or equipments, such as cylinders, gas cylinder valves, [pressure regulators, LPG rubber hose]

[Substituted by Notification No. G.S.R. 838(E), dated 4.11.2015 (w.e.f. 20.7.2000).]

and seals in respect of which he has reason to believe that a contravention of this Order has been, or is being, or is about to be made.

(2)

The sales officer of a Government Oil Company shall be authorised to secure compliance of this order by the distributors appointed under the public distribution system and or by the consumer registered by them.

14.

Overriding effect of the Order.-

The provisions of this Order shall have overriding effect notwithstanding anything contained in any Order made by a State Government or a Union Territory Administration.

15.

Power to exempt.-

The Central Government may, if it considers necessary for avoiding any hardship or in consideration of the public interest, by a notification in the Official Gazette exempt any person or class of persons from all or any of the provisions of this Order, either generally or for any specific purpose, and subject to such conditions as may be specified in the notification

16.

Repeal and savings:

The Liquefied Petroleum Gas (Regulation of Supply and Distribution) Order, 1993 is hereby repelaed:

Provided that such repeal shall not effect:

(a)

the previous operation of the said Order or anything duly done or suffered therein; or

(b)

any right, privilege, obligation or liability acquired, accrued or incurred under the said Order; or

(c)

any penalty, forfeiture or punishment incurred in respect of any offence committed against the said Order; or

(d)

any investigation, legal proceedings or remedy in respect of any such right, privilege, obligation, liability, penalty forfeiture or punishment as aforesaid, and any such investigation, legal proceeding or remedy may be instituted, continued or enforced and any such penalty, forfeiture or punishment may be imposed as if the said Order had not been repealed.

I

[see clause 3 (4)]

[Prohibited Activities (For Liquefied Petroleum Gas distributors of Government Oil Companies).]

[Substituted by Notification No. G.S.R. 781(E) dated by 16.12.2013 (w.e.f. 20.7.2000)]

1. Forced sale of Stove / Hotplates to the consumers.

2. Recovery of unauthorised charges from applicant at the time of registration / release of new connection.

3. Supply of partially used cylinder/pilfering product from cylinder/cylinders with pilfered product to LPG consumer.

4. Unauthorised and/or out of turn release of new LPG connections.

5. Unauthorised diversion of domestic cylinder for non-domestic use of LPG.

6. Acceptance of fake documents including Termination Vouchers and Transfer Termination Vouchers.

7. Possession of spurious LPG equipment.
8. Induction of spurious LPG equipment and/or replacement by a spurious equipment.
9. Manipulation of mandatory records.
10. Non-home delivery of LPG refill supplies to consumer and/or not giving rebate on non-home delivery to LPG consumer.
11. Overcharging by distributor on LPG refill supplies, installation charges, mechanic charges and/or any other charges authorised by the Government Oil Company.
12. Refusal to register requests for new connection and / or double bottle connection.

Prohibited Activities

(for Parallel Marketeers)

1. Forced sale of Stove / Hotplates to the consumers.
2. Supply of partially used cylinder/pilfering product from cylinder/cylinder with pilfered product to LPG consumer.
3. Possession of spurious LPG equipment.
4. Induction of spurious LPG equipment and /or replacement by a spurious equipment.
5. Manipulation of mandatory records.
- [13. Providing domestic Liquefied Petroleum Gas connection under Public Distribution System to a consumer who is already owing a Piped Natural Gas connection.

Prohibited Activities

(for Piped Natural Gas providing companies)

1. Providing Piped Natural Gas connection to an existing consumer of domestic Liquefied Petroleum Gas of a Government oil Company under the Public Distribution System, without obtaining an undertaking to surrender or to keep in safe custody such domestic Liquefied Petroleum Gas connection within sixty days from the date of obtaining Piped Natural Gas connection.
2. Continue to supply Piped Natural Gas to an existing consumer of domestic Liquefied Petroleum Gas of a Government Oil Company under the Public Distribution System, who has not surrendered or kept in safe custody the domestic Liquefied Petroleum Gas connection after sixty days from the date of obtaining Piped Natural Gas connection.]

[SCHEDULE - II

[Substituted by Notification No. G.S.R. 655 (E) dated 10.9.2009 (w.e.f. 20.7.2000)]

[See clauses 4 (1) (e) & 5]

Applicable to distributors of a Government Oil Company

Standard size and specification of Liquefied Petroleum Gas Cylinders shall conform to IS 3196 (Part I), 1992 Colour code specification IS 4379 and the following:

Internal diameter of cylinder in mm

Net weight of liquefied petroleum gas in the cylinder

270 mm + 1%

5 kg + 50 gms

- 0%

-

314 mm + 1%

14.2 kg + 150 gms

- 0%

-

330.1 mm + 2%

19 kg + 1.0%

- 0%

-

365.0 mm + 2%

35 kg + 1.0%

- 0%

-

368.3 mm + 1%

47.5 kg + 1.0%

- 0%

-

(+, - indicate the variations on either side)

Note :- 1. Standard size and specification of Gas Cylinder Valve under the public distribution system shall conform to IS 8737 specifications having an outlet collar diameter of 25.6 mm.

2. Pressure regulator shall conform to IS 9798 specification having an inlet diameter of 25.6 mm.]

3. [LPG rubber hose should conform to the extant IS 9573 Type II specifications.]

[Inserted by Notification No. G.S.R. 838(E), dated 4.11.2015 (w.e.f. 20.7.2000).]

Substituted by Notification No. G.S.R. 655 (E) dated 10.9.2009 (w.e.f. 20.7.2000)

[Substituted by Notification No. G.S.R. 781(E) dated by 16.12.2013 (w.e.f. 20.7.2000)]

SCHEDULE - II

[See clauses 4 (1) (e) & 5]

Applicable to distributors of a Government Oil Company

Standard size and specification of Liquefied Petroleum Gas Cylinders shall conform to IS 3196 (Part I), 1992 Colour code specification IS 4379 and the following:

{

Internal diameter of cylinder in mm

Net weight of liquefied petroleum gas in the cylinder.

314 mm +1% - 0%

14.2 kg + 150 gms

330.1 mm +2% - 0%

19kg + 1.0%

368.3 mm +1% - 0%

47.5 kg + 1.0%

(+ and - indicate the variations on either side)

NOTE:

1. Standard size and specification of Gas Cylinder Valve under the Public distribution system shall conform to IS 8737 Part II specifications having an outlet collar diameter of 25.6 mm.

2. Pressure regulator shall conform to IS 9798 specification having an inlet diameter of 25.6 mm.

}

III

[See clauses 4 (1) (e) & 5]

Applicable to Parallel Marketing System

A Parallel marketer under the parallel marketing system shall deal with and use:

(a)

Cylinder of any size, shape, design and weight other than those specified in Schedule 'II' conforming to Indian Standard Specifications.

(b)

Gas cylinder valve conforming to IS specification 8737, [* * *]

[Omitted words "Part II" by Notification No. G.S.R. 730 (E) dated 22.11.2007 (w.e.f. 20.7.2000)]

of any size having an outlet collar diameter of 22.0 mm.

(c)

Pressure regulator conforming to IS specification 9798 of any size and having an inlet diameter [* * *]

[Omitted words "other than" by Notification No. G.S.R. 730 (E) dated 22.11.2007 (w.e.f. 20.7.2000)]

of 22.0 mm.

(d)

[LPG rubber hose should conform to the extant IS:9573 Type II specifications.]

[Inserted by Notification No. G.S.R. 838(E), dated 4.11.2015 (w.e.f. 20.7.2000).]

NOTE:

1. The cylinder used by a parallel marketer shall be provided with a valve protection ring different in shape from that in

the cylinder used by a Government Oil Company.

2. The cylinder used by a parallel marketer shall be clearly marked with Colour Band and Logo of their respective company, firm or person marketing liquefied petroleum gas, as approved by the Chief Controller of Explosives.

3. Maximum permissible error on net quantities declared by weight or by volume shall be as below:

Declared quantity Maximum permissible error in excess or in deficiency

14 Gm or ml

% gm or ml

1000-10000

1.5% -

10000-15000

- 150

more than 15000

1.0%

IV

[See clause 11 (1) (a) & (4)]

Name and address of agencies for evaluation of a Parallel Marketeer.

Name

Address

1. CRISIL (The Credit Rating Information Services of India Ltd.)

Nirlon House, 2ndFloor, 254 B, Annie Besant Road, Worli Bombay – 400025

2. CARE (Credit Analysis and Research Ltd.)

RBC Mahindra Towers, 5thFloor, Road No. 13, Worli Bombay – 400018

3. MDRA (Marketing and Development Research Associates)

Secular House, 9/1, Institutional Area, Opposite JNU, New Delhi - 67

4. ICRA (Investment Information Credit Rating Agency of India Ltd.)

Kailash Building, 4thFloor, 26, Kasturba Gandhi Marg, New Delhi – 1.

V

[See clause 11 (1) b)]

Rating Certificate for the Parallel Marketeer

Date of Issue: _____

Name of Firm / Company :

Registered Office Address :

Name of Promoter / Chairman / Managing

Director :

Activities:

Particular of Bankers:

Overall Rating _____

Rating Scale

Good

Satisfactory

Low Risk

High Risk

Signature and Seal of the Rating Agency.

VI

[See clause 11 (1)(b)]

Forwarding Letter for the Certificate of rating.

To whomsoever it may concern

This is to certify that we have made an evaluation of M/s _____ for the purpose of issuing certificate and a rating to them in accordance with the provisions of the Liquefied Petroleum Gas (Regulation of Supply and Distribution), Order, 2000.

We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for

the purpose of issuing this certificate. The certificate issued by us is as a result of our examination of the documents, records and assessment of the information obtained by us and the Evaluation of capability, infrastructure network and readiness to carry out professed business, deliver good and services promised by the parallel marketer. We are satisfied that the information and particulars received and collected by us are sufficient enough for us to evaluate M/s

_____ providing the rating as specified. M/s _____

_____ are awarded _____ 16 rating. Salient facts about M/s _____ **
_____ are as follows:-

1. Total investment planned.
2. Total investment made upto date.
3. Promoters equity.
4. Proposed/likely date of commissioning.

** Name of the parallel marketer to be indicated.

(Signature and Seal of the Rating Agency)

VII

[See clause 11(4)]

Proforma of information to be submitted by the Parallel Marketeer for Evaluation/Rating by the Rating Agency.

PARAMETERS DETAILS

1. Market Standing of the Company:

- A. Constitution of the firm.
- B. Registered Office.
- C. Location & Addresses of Existing Business.
- D. Name of Promoters/Directors/Partners.
- E. Background and full antecedents of Promoters / directors / Partners.
- F. Networth of Promoters/Directors/Partners.
- G. Current Activity.
- H. Details of existing operations of the Parallel Marketeer and/or his group of companies.
- I. Audited A/Cs for three years of the promoter firm and group concerns with details of promoters constitution.
- J. Working Capital requirement for new Business pertaining to Parallel Marketing with resume of proposed scheme.
- K. Implementation record of typical projects already undertaken, in terms of cost, time, nature of projects and technology involved.
- L. Business plans and projected cash flows.
- M. Sourcing of funds for existing and proposed Business.
- N. Performance of Parallel Marketeer in his other group companies for last three years with income tax clearance certificate.

2. Marketing Plans for Liquefied Petroleum Gas:

2.1

Infrastructure for Liquefied Petroleum Gas Sourcing/Handling:

- A. Import Locations identified.
- B. Proposed size of import parcels.
- C. Status of approvals (Ports/Statutory/State Government/Chief Controller of Explosives/Environment/Milestone achieved with squared network-local authorities)
- D. Status of Progress.
- E. Details of Technological tie ups, if any.
- F. Business Proposals/Project Feasibility report, Financial Details and Financial risk analysis.

2.2

Commercial arrangements and/or consortium for Liquefied Petroleum gas (if own facilities are not planned):

- A. Any tie up arrangement finalized with importer.
- B. The supporting agreements / documents for such tie up.
- C. The quantum of product to be imported with minimum guarantee.
- D. Details of Storage & Handling of product at the import location/tie up agreement.

- E. Fall back arrangement to meet the shortfall in case the tie up arrangement does not materialise.
3. Storage and Distribution arrangement for Liquefied Petroleum Gas planned:
- A. Details of Storage facilities of Depots/Bottling plants with their capacities.
- B. Status of progress on items mentioned above.
- C. Plant & Equipment/Technological details.
- D. Details of manpower and the arrangement to handle the product.
- E. Details of designs and standards to be followed for constructions and operation of these facilities.
- F. Status of approvals for the facilities.
- G. Details of arrangements for procurement of Cylinders/Valves/Regulators.
- H. Whether the bottling plants are as per safety standards - Oil Industry Safety Directorate 144/169.
4. Arrangements planned to reach the product to consumption Centres/Markets:
- A. Details of distributor network planned/already appointed.
- B. Details of the basis for distributors appointment.
- C. Details of showroom/sales room/office and godown planned/existing along with status of approvals.
- D. Details of Distribution arrangements between the distributors godown and the consumer.
5. Product Familiarity Training and Provision for safety:
- A. Operational knowledge of product (Liquefied Petroleum Gas) and its handling
- B. The capability and preparedness to meet the safety requirement in Liquefied Petroleum Gas, Its transportation and accident relief during transportation.
- C. Plans for training the staff and the consumer on safe handling of equipment/product.
- D. Recruitment policy and standards for the staff.
- E. Familiarity with gas Control Orders, Explosives Rules and Other applicable local acts.
- F. Details for arrangements for attending emergency complaints of consumers.
6. Marketing Discipline and Guidelines proposed to be adopted:
- A. Code of conduct for distributors and delivery men.
- B. System to monitor and control adulteration and unauthorised diversion of products.
7. Organisation in place/ proposed for the parallel marketing of Liquefied Petroleum Gas:
- A. Details of Organisational Structure.
- B. Level of managerial involvement of the promoter.
- C. Source of financing the Liquefied Petroleum Gas parallel marketing including the infrastructure.
- D. Any other relevant details which the parallel marketer would like to provide.
8. Financial Commitment:
- A. Total estimated project cost.
- B. Planned (Phase-wise) resource mobilisation.
- C. Resources arranged and investment made as on date.....
- D. Proof of A, B and C above.

* Extra Sheets may be used, if required.

Date_____

Signature_____

M/s_____

(Parallel Marketeer)

Address_____

NOTIFICATION

Notification issued in G.O.Ms. No. 295, C,F & CP Dept. dt.15.12.2000 under subclause (1) of clause 13 of the Liquefied Petroleum Gas (Regulation of Supply and Distribution) Order, 2000 authorising the following Officers for the purpose of the said clause.

(1)

All Officers of Civil Supplies and Consumer Protection Department not below the rank of Assistant Commissioner of Civil Supplies including the Assistant Commissioner (Inspection) of Civil Supplies.

(2)

All Officer of Revenue Department not below the rank of Taluk Tahsildar within this respective jurisdiction.

(3)

All Taluk Supply Officer in the rank of Tahsildar within their respective jurisdiction.

(4)

All District Supply Officers within their respective jurisdiction

(5)

All Officer of the Police department including Civil Supplies (CID) not below the rank of Inspector of Police

(6)

All Officers of the Labour Department not below the rank of Deputy Inspector of Labour.

[Substituted by Notification No. G.S.R. 791 (E) dated 25.10.2012 (w.e.f. 20.7.2000)]

Related AI tags, queries and research notes

Translation